

WHAT THE CAG FOUND

PMKVY appears impressive on paper: over 11 million candidates were certified across its first three phases, while placements for short-term training and special projects peaked at 51.1 per cent in Phase 2. The CAG, however, found deep structural flaws:

- **No long-term strategy:** Annual target allocations created uncertainty for training providers (TPs), encouraging a focus on meeting targets rather than employment outcomes
- **Weak oversight:** No policy formulated for retaining electronic records of attendance, trainer details etc. under PMKVY 1.0
- **Favouritism:** Of 6,099 TPs, just 10 per cent received 84 per cent of all training targets, raising concerns of bias
- **Eligibility norms ignored:** For job roles requiring prior technical qualifications, 85 per cent of certified candidates were ineligible; over 654,000 underage candidates were certified in first three phases, another 118,000 in PMKVY 4.0 until October 2024
- **Pending benefit transfer:** By October 2024, only 63.75 per cent of PMKVY 2.0/ 3.0 certified candidates had received the Rs 500 incentive, largely due to missing or invalid bank account details in other cases
- **Delayed assessments:** In eight states, post-training assessments were delayed by up to three and a half years, undermining the credibility of certifications
- **Irregularities:** Acting on the CAG's findings, the National Skill Development Corporation (NSDC) in June 2026 issued notices to 20 current/ former employees; there was already a police complaint registered against its officials for "misappropriation"; by Oct. 31, 2025, 178 training centres had been blacklisted, FIRs against 41 for serious irregularities like forging attendance data

(2015-2022). It uncovered non-existent training centres, absent candidates, incorrect beneficiary profiles, fake bank accounts, uneven training quality and weak third-party evaluation mechanisms. In eight states, post-training assessments were delayed by as much as three and a half years. In Bihar, Odisha and Rajasthan, candidates were assessed despite failing to meet the mandatory 70 per cent attendance requirement, while in Kerala, at least two training providers falsified placement records to claim government incentives.

The fourth phase of the scheme, PMKVY 4.0, has been in operation since April 2022. Yet what was conceived as a transformative skilling initiative appears to have slipped into a familiar cycle of patchy execution and limited outcomes, raising questions about its ability to improve employability at scale. Even as the PAC has sought accountability, the National Skill Development Corporation (NSDC), the implementing agency, has stepped up action—blacklisting errant training partners, filing FIRs against some of them, and issuing notices to both current and former employees.

BIG PICTURE, POOR OUTCOMES

There is no denying the rationale for a national skilling mission. India's workforce—nearly 565 million-strong—is predominantly young, with about 65 per cent of the population below 35. On paper, this demographic profile offers a once-in-a-generation opportunity. In practice, a significant share of workers lack the skills demanded by a modern economy. Today, only four per cent of India's workforce (aged 15 to 59 years) has received formal vocational training even as nearly 88 per cent remain engaged in low-competency jobs, according to a report titled 'Skills for the Future: Transforming India's Workforce Landscape', released by the Institute for Competitiveness in June 2025.

It was to address this gap that the government launched the Skill India Mission in 2015, with PMKVY as its flagship programme. The scheme relies largely on Short-Term Training (STT)